

or even barter a goat, but it is very difficult to sell a plot or a house. It takes several months, sometimes years, to arrange a buyer. In fact, as sellers in many parts of the National Capital Region and Mumbai have discovered after 2014, finding a buyer can be impossible at times.

Transaction costs: Stamp duty, registration and other transaction charges associated with buying property now exceed 10 per cent of the cost of the property. More often than not, the developer or the housing society also charges transfer fees. These costs make residential real estate the most expensive asset class to trade by a long margin. Added to that the taxation—short-term capital gains taxes on real estate are at the marginal rate for the income-tax payer and the long-term capital gains tax is 20 per cent. This implies that most of the gains from investing in real estate are lost via transaction costs and taxation.

Non-standard assets: An ounce of 24-carat gold will appreciate at the same pace in your hand as it will in the hands of another investor. An Infosys stock will give you the same appreciation as it will to anybody else who holds it. However, real estate is very non-standard. It varies across macro markets (like Mumbai versus Delhi), micro markets (Bandra versus Lower Parel) and even across streets and neighbourhoods. This makes it a very unpredictable asset class and returns are driven as much by luck as by thought-out investment decisions.

A murky sector: Residential real estate is one of the least clean sectors in India. The multitude of regulatory clearances required to buy land, develop it and then sell residential apartments make real estate an ideal sector for bribe-seeking politicians and civil servants. Over time, and over repeated transactions, rather than having a transactional relationship, many real estate developers have realized that they might as well work in partnership with the politicians, regulators and civil servants. It is these people who are first in the queue to cream the gains from real estate. The middle-class investor, no matter how affluent he/she may be, is the last to benefit from any upside associated with real estate development in India.